Alger Spectra Fund

3rd Quarter 2026 As of September 30, 2026

Ticker Symbols

Class A	SPECX
Class C	ASPCX
Class I	ASPIX
Class Y	ASPYX
Class Z	ASPZX

Investment Strategy

Primarily invests in growth equity securities of U.S. companies identified through our fundamental research as demonstrating promising growth potential, and engages in short selling (up to approximately 10% of the market value of the portfolio). Seeks long-term capital appreciation.

Portfolio Management



Patrick Kelly, CFA
Executive Vice President
Portfolio Manager,
Head of Alger Capital Appreciation and Spectra Strategies
29 Years Investment Experience



Dan Chung, CFA
Chief Executive Officer,
Chief Investment Officer
Portfolio Manager
32 Years Investment Experience



Dr. Ankur Crawford
Executive Vice President
Portfolio Manager
22 Years Investment Experience

Benchmark

Russell 3000 Growth Index

Standardized performance is available on page 3.

HIGHLIGHTS

- During the third quarter of 2026, the largest portfolio sector weightings were Information Technology and Communication Services. The largest sector overweight was Information Technology and the largest sector underweight was Financials.
- The Consumer Discretionary and Information Technology sectors contributed to relative performance while Communication Services and Utilities were among sectors that detracted from relative performance.

MARKET ENVIRONMENT

U.S. equities advanced modestly in the third quarter, with the S&P 500 gaining 2%. Strong corporate earnings, resilient consumer spending and continued investment in artificial intelligence (AI) supported the equity markets. Software stocks also rebounded as fears of near-term disruption from AI abated. Market breadth, however, was notably weak. A narrow group of large-cap companies carried the index higher, while roughly 60% of S&P 500 stocks finished the quarter in negative territory. Several crosscurrents made for a choppy market. Interest rates rose sharply, conflict in the Middle East reignited and the cost of funding the AI buildout continued to climb, leaving some investors skeptical that the spending will generate an adequate return. Among S&P 500 sectors, Energy led as the conflict disrupted oil supplies and pushed prices above $100 a barrel. Utilities, by contrast, had the worst performance, as rising interest rates made their dividends less attractive relative to bonds and raised borrowing costs for these capital-intensive businesses.

The U.S. economy strengthened during the quarter, but inflation remained above the Federal Reserve's (Fed's) 2% target, and higher oil prices raised the risk that it would stay there. The Fed responded by raising rates 25 basis points in September, its first increase since 2023. Yields rose across the curve, with the 10-year Treasury yield surging 83 basis points over the quarter and touching its highest level since 2007. Fed Chair Kevin Warsh attributed the rise in long-term yields to stronger economic growth, heavy corporate borrowing for AI infrastructure and geopolitical tensions that have pushed commodity prices higher.

Despite the added scrutiny of AI spending, we continue to see compelling opportunities across the emerging AI economy. Adoption is still early for many companies, yet the technology is moving quickly from generating content to handling more complex work, such as serving customers and writing software. This work requires vast computing power, and we believe the opportunity extends beyond the companies supplying data centers, equipment and electricity to those that can use AI to raise productivity and strengthen their competitive position. At the same time, AI poses a real threat to some established businesses, and companies that look inexpensive on traditional valuation metrics may be cheap for good reason if AI is eroding their long-term fundamentals. That is why we believe careful fundamental research and disciplined stock selection remain critical in this environment.

PORTFOLIO UPDATE

Class A shares of the Alger Spectra Fund underperformed the Russell 3000 Growth Index during the third quarter of 2026. Microsoft Corporation, NVIDIA Corporation, and Meta Platforms Inc were among the top contributors to performance.

- Microsoft is a global technology company whose businesses include cloud computing, productivity software, cybersecurity, gaming, and professional networking. We believe the company is well positioned to benefit from AI through its Azure cloud platform and the integration of AI tools across Microsoft 365 and its broader software portfolio. Shares contributed positively during the quarter, recovering from a weak start to the year after the company reported stronger-than-expected results led by accelerating growth in Azure. Management also forecast further acceleration in the cloud business, reinforcing confidence that heavy demand for AI computing capacity is translating into revenue growth. Adoption of Microsoft 365 Copilot, an AI assistant built into everyday workplace applications, also picked up meaningfully, offering further evidence that customers are willing to pay for AI features. With spending plans holding steady, these developments eased concerns about Microsoft's substantial infrastructure investments and suggested improving returns from its AI strategy.

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- Nvidia is the leading designer of graphics processing units, or GPUs, the specialized chips that provide much of the computing power used to develop and run artificial intelligence applications. Alongside its chips, its expanding portfolio of networking products, software, and complete computing systems has made it an important partner to cloud providers, businesses, and governments worldwide. We believe Nvidia is a direct beneficiary of the AI infrastructure buildout given its strong competitive position, robust product roadmap, and expanding market opportunity. Shares contributed positively during the quarter after the company reported stronger-than-expected results and issued a near-term outlook ahead of expectations. Investor sentiment received a further lift when management signaled that growth next year should be considerably faster than investors had anticipated, with demand for its products continuing to outpace supply. These developments suggested that AI infrastructure spending remains durable across a widening range of customers.
- Meta is the world's largest social media company, operating platforms that include Facebook, Instagram, WhatsApp, and Messenger. We believe the company's competitive position is supported by the scale of its audience, its extensive data, and its ability to use AI to improve advertising results and user engagement. Shares contributed positively during the quarter, rebounding from weakness after the company's July earnings report to rally sharply following the launch of Muse, a personal AI agent designed to complete multi-step tasks on a user's behalf rather than simply answer questions. Muse can navigate websites, fill out forms, and book travel, and it keeps working after the app is closed. Strong early consumer adoption, which quickly made it one of the most downloaded apps in the U.S., increased confidence that Meta can turn its heavy AI investments into widely used products and new sources of revenue beyond advertising.

Our short position in an advertising technology company that helps marketers buy digital ads across internet and streaming platforms contributed positively to performance during the quarter. Shares declined sharply after the company reported disappointing quarterly results and issued an outlook well below expectations, as weaker consumer spending and tariff pressures led several major advertiser categories to reduce budgets. Investors also grew more concerned about competition from large technology platforms that can pair their advertising tools with extensive consumer data, a risk underscored by new partnerships announced by rivals during the quarter.

Western Digital Corporation, Nebius Group, and Space Exploration Technologies Corp. were among the top detractors from performance.

- Western Digital is a leading provider of hard disk drives, which store vast quantities of data for cloud providers, enterprises, and data centers. Following the separation of its flash-memory business, the company now focuses primarily on high-capacity hard drive storage. We believe Western Digital is well positioned to benefit from the continued expansion of data, as artificial intelligence applications generate enormous volumes of information that must be stored reliably and at low cost. Shares detracted from performance during the quarter despite strong operating results and sustained demand from cloud customers. After a period of strong gains, the stock came under pressure when the company's outlook fell short of elevated investor expectations, prompting questions about whether recent strength in hard drive pricing and demand could be sustained. Despite the recent share price weakness, we believe the company's fundamentals remain strong, supported by its scale and improving profitability.
- Nebius is an AI cloud infrastructure company that builds and operates data centers equipped with advanced processors used to develop and run AI applications. Shares detracted from performance during the quarter, extending a pullback from their early-summer record high. Although the stock rallied after Nebius reported better-than-expected results, it retreated when the company announced plans to raise additional capital through debt that can later convert into equity, raising concerns that existing shareholders' ownership would be diluted. A broader selloff in AI infrastructure stocks later in the quarter added to the pressure. Despite the recent share price weakness, we believe the company's fundamentals remain strong given solid demand for its computing capacity and its position as a leading independent provider of AI computing power.
- SpaceX has evolved from a pioneering rocket company into a diversified enterprise that launches spacecraft, delivers satellite internet through Starlink, and develops artificial intelligence through xAI, the creator of the Grok family of models. Its AI business is supported by Colossus, a network of large data centers in Tennessee and Mississippi that trains xAI's models and provides computing capacity to other AI developers. In our view, the company's leadership in reusable rockets provides a durable cost advantage, while Starlink's growing subscriber base generates a reliable stream of recurring revenue. Shares detracted from performance during the quarter as initial enthusiasm following the company's record initial public offering moderated and investors placed greater emphasis on valuation. Investors also focused on the substantial capital required to expand Colossus, which has offset much of the profitability generated by Starlink, while a postponed Starship test flight raised questions about development timelines. The expiration of restrictions on insider share sales added further pressure by increasing the supply of shares available for trading. Despite the near-term pullback, we believe company fundamentals remain compelling given Starlink's rapid subscriber growth, early progress in leasing Colossus capacity to external customers, and Starship's potential to meaningfully lower launch costs over time.

Our short position in a global IT consulting and services company detracted from performance during the quarter. After falling sharply earlier in the year on concerns that AI could reduce demand for traditional consulting work, the shares staged a strong recovery as those fears began to ease across the IT services industry. The company also announced several AI-related partnerships, including a large commitment to help evaluate the models of a leading AI developer, which reinforced its positioning as a key partner for businesses adopting the technology. Analyst sentiment turned more constructive late in the quarter ahead of the company's fiscal year-end results, adding further support to the stock.

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Average Annual Total Returns (%) (as of 9/30/26)

	QTR	YTD	1 Year	3 Years	5 Years	10 Years	Since Inception
Class A (Incepted 7/28/69)							
Without Sales Charge	0.29	11.72	10.34	34.80	13.06	17.30	16.01
With Sales Charge	-4.98	5.86	4.56	32.39	11.85	16.67	15.89
Russell 3000 Growth Index	0.45	6.37	7.58	23.84	13.11	17.62	(Since 9/24/08) 14.84

Total Annual Operating Expenses by Class Without Waiver: A: 1.53%
(Prospectus Dated 2/28/26, unless otherwise amended)

Performance shown is net of fees and expenses.
Only periods greater than 12 months are annualized.
The first full calendar year that Fred Alger Management, LLC was the Fund's investment manager was 1975; therefore, since inception performance is reflected as of this date. The Fund operated as a closed end fund from August 23, 1978 to February 12, 1996. The calculation of total return during that time assumes dividends were reinvested at market value. Had dividends not been reinvested, performance would have been lower. On September 24, 2008, the Fund's name was changed from Spectra Fund to Alger Spectra Fund, and the Fund's Class N shares were redesignated as Class A shares. Performance from February 13, 1996 through September 23, 2008 is that of the Fund's Class N Shares, adjusted to reflect applicable sales charges and operating expenses.
The performance data quoted represents past performance, which is not an indication or a guarantee of future results. Investment return and principal value of an investment will fluctuate so that an investor's shares, when redeemed, may be worth more or less than their original cost. Current performance may be lower or higher than the performance quoted. Performance figures assume all distributions are reinvested. Returns with sales charges reflect a maximum front-end sales charge on Class A Shares of 5.25%. Class A shares may be subject to a maximum deferred sales charge of 1.00%. For performance current to the most recent month end, visit www.alger.com or call 800.992.3863.

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Alger pays compensation to third party marketers to sell various strategies to prospective investors.

The following positions represented the stated percentages of portfolio assets as of September 30, 2026: Microsoft Corporation, 9.64%; NVIDIA Corporation, 16.55%; Meta Platforms Inc Class A, 5.11%; Western Digital Corporation, 3.09%; Nebius Group N.V. Class A, 4.64%; Space Exploration Technologies Corp. Class A, 1.71%.

Before investing, carefully consider the Fund's investment objective, risks, charges, and expenses. For a prospectus and a summary prospectus containing this and other information about the Fund, call (800) 992-3863, visit www.alger.com, or consult your financial advisor. Read it carefully before investing. Distributor: Fred Alger & Company, LLC. NOT FDIC INSURED. NOT BANK GUARANTEED. MAY LOSE VALUE.